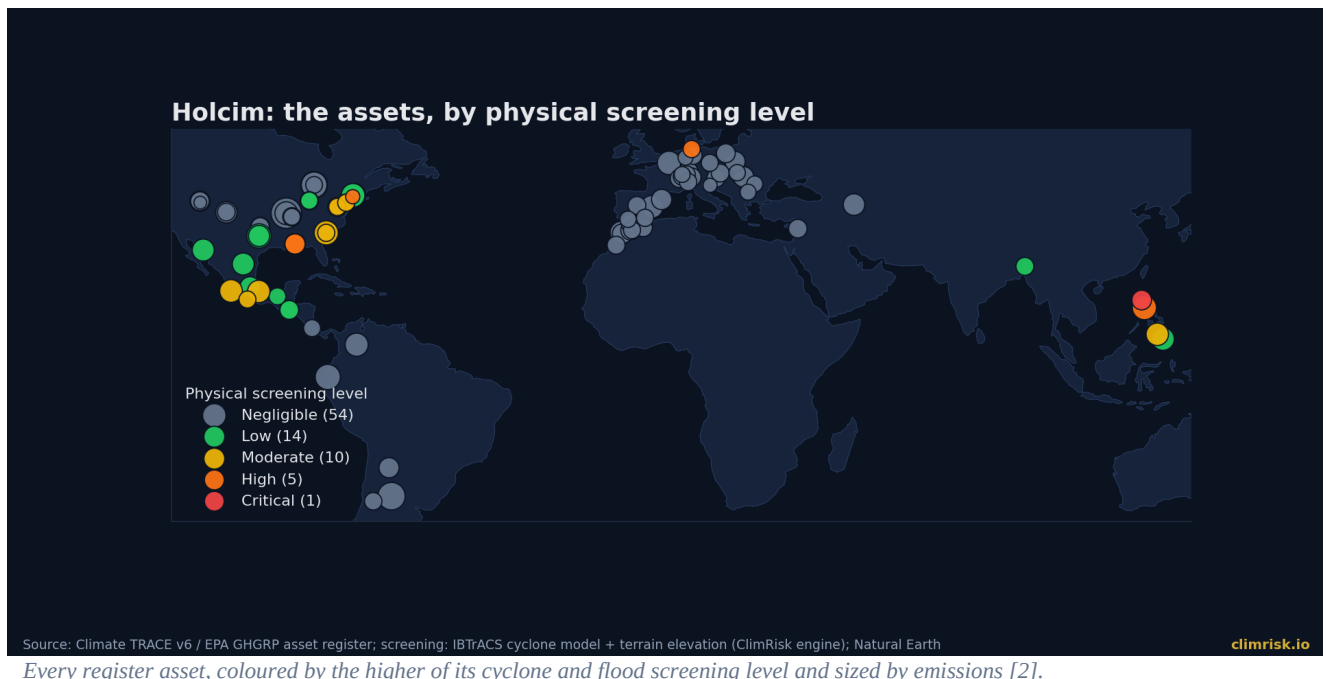


Holcim: the loss distribution, and the part nobody prices (90×)

Portfolio value about \$22.2bn across 84 assets. Expected loss to 2050 is \$22.7bn in the worst scenario (Net Zero 2050), with a 95th-percentile outcome of \$24.8bn [1].

ClimRisk risk analyst · 2026-10-07



JAS 2026. The Oceanic Niño Index reads +2.16 °C: El Niño. Since 1950 it has crossed +2 °C only 4 times [3]. The ocean is the loud part of the climate story this year. What follows is about the part that does not make the news: what climate policy and climate hazards do to the value of a specific set of industrial assets.

Holcim in six numbers

Where the expected loss comes from

\$22.2bn

estimated portfolio value

capacity-based proxy unless supplied

\$14.0bn

expected loss, delayed transition

Monte Carlo mean, PV 2026–2050

\$16.8bn

95th percentile

1-in-20 outcome

\$17.0bn

expected shortfall

mean of the worst 5% of draws

\$153.5m

physical share (approx.)

annual loss × 25 years at 7%

\$13.8bn

transition share

total less physical

Source: ClimRisk risk analyst; NGFS Phase 5; asset register

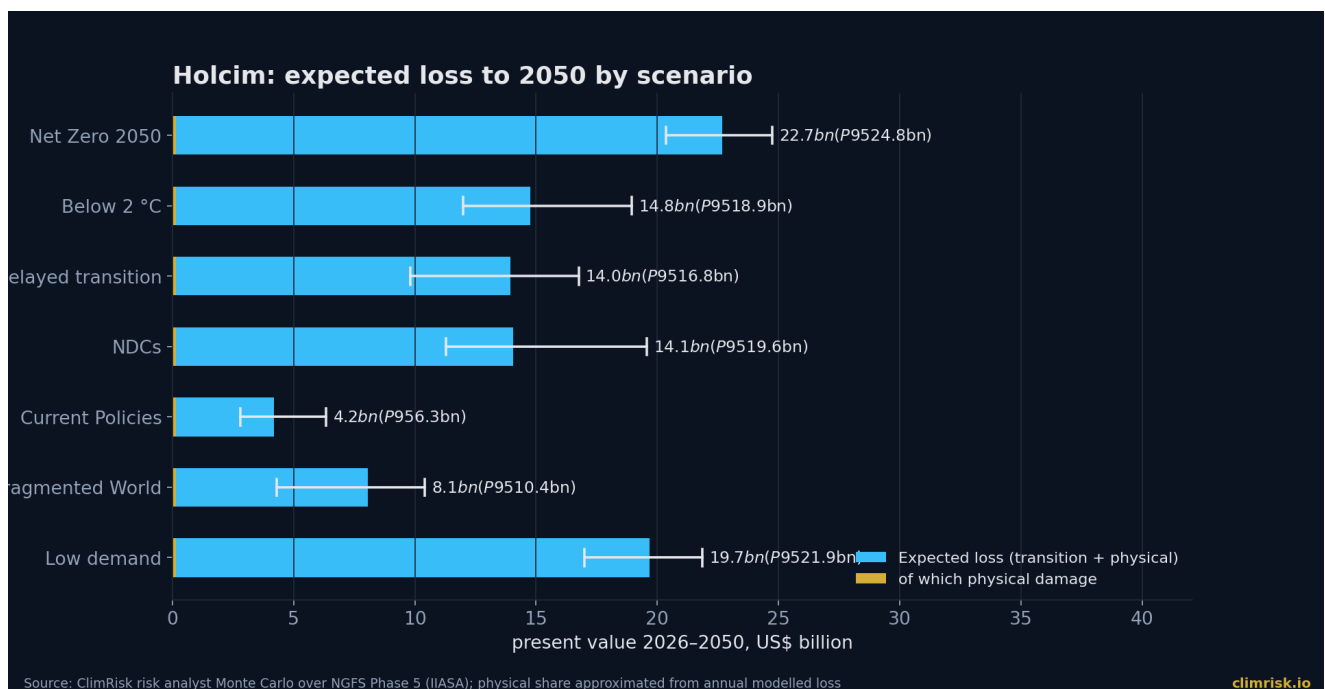
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Portfolio-level Monte Carlo summary.

90× quiet to loud

The quiet risk is about 90 times the loud one: \$13.8bn of transition cost against \$153.5m of physical damage in the delayed transition.

The loud risk: the expected loss



In Net Zero 2050 the expected cost is 102% of the estimated portfolio value. Read that as the assets not being worth running at those prices, not as a forecast of total loss, and note the value is a proxy with a wide band.

The quiet risk: the tail and the concentration

Scenario	Mean	Median	95th pct	Expected shortfall	
Net Zero 2050	\$22.7bn	\$22.9bn	\$24.8bn	\$25.0bn	
Below 2°C	\$14.8bn	\$13.3bn	\$18.9bn	\$19.3bn	
Delayed transition	\$14.0bn	\$15.4bn	\$16.8bn	\$17.0bn	
Nationally Determined Contributions (NDCs)	\$14.1bn	\$12.2bn	\$19.6bn	\$20.0bn	
Current Policies	\$4.2bn	\$3.7bn	\$6.3bn	\$6.5bn	
Fragmented World	\$8.1bn	\$9.5bn	\$10.4bn	\$10.6bn	
Low demand	\$19.7bn	\$20.1bn	\$21.9bn	\$22.2bn	
Asset	Country	Physical annual loss (% of value)	Cyclone	River	Coast
Holcim Philippines Davao City Cement Plant	PHL	2.00%	NEGLIGIBLE	NEGLIGIBLE	HIGH
Holcim MéxiOperaciones Acapulco Cement Plant	MEX	0.52%	MODERATE	NEGLIGIBLE	NEGLIGIBLE
Holcim MéxiOperaciones Caleras Cement Plant	MEX	0.43%	MODERATE	NEGLIGIBLE	NEGLIGIBLE
Amrize Theodore Cement Plant	USA	0.33%	MODERATE	NEGLIGIBLE	NEGLIGIBLE
Holcim (US) Inc	USA	0.31%	MODERATE	NEGLIGIBLE	NEGLIGIBLE
Holcim Philippines Bacnotan Cement Plant	PHL	0.31%	MODERATE	NEGLIGIBLE	NEGLIGIBLE
HOLCIM (US) INC.	USA	0.12%	LOW	LOW	NEGLIGIBLE
Holcim Philippines Norzagaray Cement Plant	PHL	0.12%	LOW	NEGLIGIBLE	NEGLIGIBLE

Flood depths were read live for the 15 largest emitters only; the others use screening values.

What this means, by reader

For the lender. Size covenants to the 95th percentile and expected shortfall, not the mean.

For the investor. The mean hides the tail; the tail is where a few coastal assets and the highest-emitting plants sit.

Method and limitations

Each asset run through the four-stage analyst; flood depths fetched live for the top 15 assets by emissions (others: cyclone + policy + transition only). Transition model draws are shared across assets (common scenario uncertainty); physical events independent. % of value is taken per draw against that draw's portfolio value, so it cannot exceed 100%. Direct physical damage and carbon cost only; business interruption is not included. The physical share at company level is approximated as each asset's modelled annual loss times a 25-year annuity at 7%.

How ClimRisk measured this

- Register → assets, emissions, capacity.
- Physical → IBTrACS cyclone set, terrain screening, live JRC and Deltares flood depths for the largest emitters.
- Transition → NGFS price and output paths.
- Monte Carlo → shared draws, expected loss, percentiles, expected shortfall.

Sources

1. NGFS Phase 5 climate scenarios (IIASA Scenario Explorer) — carbon price and sector output, 7 scenarios, 3 models
<https://data.ene.iiasa.ac.at/ngfs/>
2. ClimRisk asset register — Climate TRACE v6 + EPA GHGRP 2023 with IBTrACS cyclone and terrain-elevation screening
3. NOAA Climate Prediction Center, Oceanic Niño Index (ERSSTv5)
https://www.cpc.ncep.noaa.gov/products/analysis_monitoring/ensostuff/ONI_v5.php

Produced by the ClimRisk engine from the sources listed. Model outputs with the limitations stated; not forecasts or investment advice.